WHY FDI HAS FALLEN

"One of the key reasons for sluggish investment, both domestic private investment and FDI, has been the slowdown in consumer demand," says Forbes. There are definite signs coming in that point to sluggish consumption, even after the just concluded Diwali season. "The performance of the FMCG companies has been a good indicator of this slowdown," he adds. A heavy monsoon, low salary increases and high inflation, especially that of food, have impacted urban consumption, which in turn has led to weaker corporate results. Weak demand offers no incentive for foreign companies to bring in fresh investment to add capacities, since there is already excess capacity at manufacturing plants.

The other factor is the change in the pattern of FDI itself. "There is a shift in the nature of FDI and it has evolved after 2012-13," says Dhananjay Sinha, co-head of equities & head of research, Systematix Group, a financial services firm. "Along with the rise in FDI, the portion of repatriation has risen. There is a trading mentality (among foreign investors) rather than a commitment towards long-term capital formation." He says that this sort of an "inward orientation" has been prominent especially after the global financial crisis of 2008. While one could claim that a market that allows investors to take profits and exit their investments is a "healthy" one, repatriation does not help in creating long-term assets or in technology transfer.

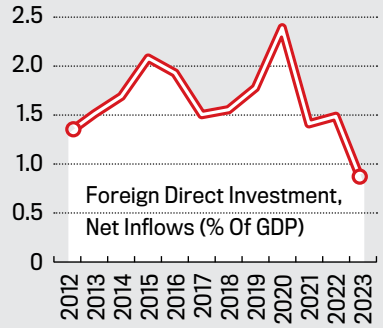
Moreover, there is a concentration of FDI in certain sectors such as IT, trading and non-conventional energy. Since FY17, the concentration of the top nine sectors in FDI inflows, mainly services, have risen from 49 per cent to an estimated 70 per cent in FY24. In contrast, the share of a wide range of 53 sectors, predominantly manufacturing, has declined to 30 per cent.

The other factor that has impacted FDI flows is the rise in trade protectionism. Its intensification since the US-China trade war in 2018 and the aftermath of the pandemic has resulted in the shrinkage of outward and inward global FDI flows, notes a study by Systematix. Sectoral FDI flows outside of the IT sector indicate a dominating intent to tap into short-term domestic opportunities rather than to create an export base. Thus, policy incentives through the 'Make in India' and PLI (production linked incentive) schemes have fallen short of the intended objectives, says the report. Of the 14 focus sectors under the PLI scheme, only non-conventional energy has gained prominence in FDI inflows, it says. More investment gets into services since it is relatively less regulated.

A SLOWER INDIA STORY

FDI AS % OF GDP

It fell from 2.4 per cent in 2020 to 1.4 per cent in 2021, rose to 1.5 per cent in 2022, but plummeted to 0.8 per cent in 2023



Source: World Bank; RBI; CMIE, Systematix Research



"In the financial sector, privatisation of some PSU banks is pending. Our interest rates are higher than countries that attract a lot of FDI. The four labour codes passed in 2019 are not implemented too"

NAUSHAD FORBES
Co-chairperson, Forbes Marshall

In recent years, India has aggressively shifted towards free trade agreements (FTAs) along with policy incentives. The objective has been to attract FDI into manufacturing, creation of export hubs and employment generation. Evidence, however, shows that such gains have been inadequate, adds the Systematix report. After the initial years, India's trade deficit with FTA partners increased substantially as the reduction of high import duties by India allowed greater market access to the FTA partner countries. India's merchandise trade deficit with FTA partners increased significantly between 2007-09 and 2020-22—300 per cent with ASEAN countries, 161 per cent with South Korea and 138 per cent with Japan. "Conversely, India's exports gained little as FTA partners typically had low import duties. Thus, notwithstanding the easing of FDI regulations, the narrowing of relative import duties has not incentivised export-oriented FDIs," the report adds. Indian exports have been impacted by non-tariff barriers like strict standards or regulations as well as the lower export competitiveness of many of our companies.

The options available for investors have also increased substantially. "Earlier, only emerging markets like China and India were favourite destinations. Now, a lot of reconstruction work is going on in the US and Europe, so opportunities have